#3 · 5.9% of marks

Ind AS 115 — Revenue

Five steps. Every twisted question is really asking **which step** it is testing.

1 The five steps

#	Step	Key test
1	***Identify the contract***	*Approved, rights & payment terms identifiable,* ***commercial substance****,* ***collection probable*** 9
2	***Identify performance obligations***	*Good / service* ***distinct****: capable of being distinct + distinct* ***in context*** 27
3	***Determine transaction price***	*Variable consideration, financing, non-cash, payable to customer* 47
4	***Allocate***	*Relative* ***standalone selling price*** 73
5	***Recognise***	*When / as* ***control*** *transfers — over time or point in time* 31

2 Step 1 — contract traps

→ *Collection* ***not probable*** *→ no contract; consideration received =* ***liability*** *until criteria met / contract ends & non-refundable* 15

→ ***Combine*** *contracts entered at/near same time if negotiated as a package, price interdependent, or single PO* 17

Contract modification 18 - 21	Treatment
Adds ***distinct*** *goods at* ***standalone price***	***Separate new contract***
Remaining goods distinct, price not standalone	***Terminate old + new contract*** *— prospective*
Remaining goods ***not distinct*** *(single PO partly done)*	***Cumulative catch-up*** *to revenue*

3 Step 3 — transaction price

→ ***Variable consideration*** *(discounts, rebates, bonuses, penalties, returns):* ***expected value*** *or* ***most likely amount****, then* ***constraint*** *— include only to extent* ***highly probable*** *no significant reversal* 53 · 56

→ ***Significant financing component*** *→ adjust for time value; expedient if gap* ***≤ 1 year*** 60 - 63

→ ***Non-cash consideration*** *→ FV* 66

→ ***Consideration payable to customer*** *(slotting fees, coupons) →* ***reduce revenue****, unless for a distinct good / service at FV* 70

4 Step 4 — allocation 73 - 86

→ *SSP not observable → **adjusted market assessment**, **expected cost + margin**, **residual** (only if highly variable / uncertain)*

→ ***Discount** → proportionately to all POs, unless observable evidence it relates to some* 81 - 82

→ ***Variable consideration** → wholly to one PO if terms relate to it and result is consistent with objective* 85

5 Step 5 — over time? (any ONE) 35

(a)	(b)	(c)
Customer **simultaneously receives & consumes** benefits (cleaning, payroll)	Performance creates / enhances an asset the **customer controls** as it's built	**No alternative use** and **enforceable right to payment** for work done to date

→ *Measure progress: **output** (milestones, units) or **input** (cost-to-cost) — exclude costs not reflecting progress (wasted materials); **uninstalled materials** → revenue = cost (zero margin)* B19

→ *Can't measure progress but expect to recover costs → revenue **to extent of costs*** 45

Point in time — control indicators 38

Present right to payment · legal title · physical possession · significant risks & rewards · customer acceptance

6 Contract balances 105 - 108

Item	Meaning
Receivable	**Unconditional** right to consideration (only time to pass) → Ind AS 109 ECL
Contract asset	Right **conditional** on something other than time (further performance)
Contract liability	Consideration received / due **before** performance

7 Contract costs 91 - 104

→ ***Incremental cost of obtaining*** *(sales commission on winning) → **asset** if expected recoverable; expedient: expense if amortisation ≤ 1 year*

→ *Costs incurred **regardless** of win (bid costs, legal) → expense unless explicitly chargeable*

→ ***Costs to fulfil*** *(not under other Ind AS) → asset if relate to contract, generate resources, expected recovered*

→ *Amortise consistent with transfer of goods; impairment test*

MOST TWISTED

⑧ The application-guidance hit list

Situation	Treatment
Right of return B20 – B27	*Revenue only for goods **not expected** to return; **refund liability**; **asset** for right to recover goods (cost less recovery cost & value loss)*
Warranty B28 – B33	***Assurance** type → Ind AS 37 provision. **Service** type (or sold separately) → **separate PO**, defer revenue*
Principal vs agent B34 – B38	*Controls the good **before** transfer → principal (gross). Indicators: primarily responsible, inventory risk, pricing discretion. Agent → **net commission***
Customer options *(loyalty points)* B39 – B43	***Material right** → separate PO; allocate price by SSP of points (adjusted for expected redemption); revenue on redemption / expiry*
Unexercised rights *(breakage)* B44 – B47	*Expected breakage recognised in proportion to rights exercised (if no significant reversal)*
Non-refundable upfront fee B48 – B51	*Usually **advance for future** goods → defer over period (incl. renewal if material right)*
Licence B52 – B63	***Right to access** (IP changes with licensor activity) → **over time**; **right to use** (IP as it exists) → **point in time**. Sales / usage-based **royalty** → recognise when sale / usage occurs*
Repurchase B64 – B76	*Forward / call: price < original → **lease**; ≥ → **financing**. Put: significant incentive to exercise → lease / financing; else sale with right of return*
Consignment B77 – B78	*No revenue on delivery to consignee — revenue when consignee sells*
Bill-and-hold B79 – B82	*All 4: substantive reason, identified separately as customer's, ready for transfer, can't be used / redirected*

⚠ TRAP

***Channel stuffing** (Jan 2026 PYQ): goods pushed to distributors without firm orders, 180-day credit, right of return → control may not have transferred; returns expected → **no revenue** for those; also an **ethics** issue (integrity, objectivity).*

9 Indian specifics

- → **Reconciliation** of revenue recognised with **contracted price**, showing adjustments (discounts, rebates, refunds, credits, price concessions, incentives, bonuses) 126AA
- → Scope out: leases (116), insurance (117), financial instruments (109), non-monetary exchanges between same-line entities to facilitate sales
- → Interest & dividend income → Ind AS 109, not 115

10 Cross-standard links

- → **Ind AS 16 · 68A** — rental assets routinely sold → inventory; proceeds = revenue
- → **Ind AS 16 · 69, 72** — disposal date & consideration follow Ind AS 115 rules
- → **Ind AS 37** — assurance warranty provisions; onerous contracts
- → **Ind AS 109** — ECL on receivables & contract assets (simplified approach)
- → **Ind AS 12** — advance taxed on receipt → DTA
- → **Ind AS 10** — returns after RD give evidence of NRV / variable consideration at RD

11 AAA bridge

Area	Requirement
SA 240 · 26	***Presumed fraud risk in revenue recognition*** — rebut only with documented reasons
SA 540	Variable consideration, constraint, SSP, % completion estimates
SA 505	External confirmations of receivables & contract terms (side agreements)
SA 500	Cut-off testing near year-end (channel stuffing)
SA 550	Revenue with related parties — arm's length

> ✍ **Write in exam**
> "As per para 56 of Ind AS 115, variable consideration is included in the transaction price only to the extent that it is highly probable that a significant reversal in the amount of cumulative revenue recognised will not occur when the uncertainty is subsequently resolved."

> ✍ **Write in exam**
> "Since the performance does not create an asset with an alternative use and the entity has an enforceable right to payment for performance completed to date, the performance obligation is satisfied over time as per para 35(c)."

Ask in order: **Contract?** → **POs?** → **Price?** → **Split?** → **When?** Name the step in your answer.